

Smartworks Coworking (SMARTWORKS)

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Smartworks Coworking Spaces Limited

(Formerly known as Smartworks Coworking Spaces Private Limited)

Regd. Office: Unit No. 305 – 310, Plot No. 9,10, & 11, Vardhman Trade Centre, Nehru Place, South Delhi – 110 019 .

Corporate Office: DLF Commercial Building, Block - 3, Zone -6, DLF Phase – 5, Gurugram, Haryana -1220 02

Phone No: 0124 -6919 400

CIN: L74900DL2015PLC310656

Date: November 12, 2025

To,

National Stock Exchange of India Limited ("NSE")

Listing Department

Exchange Plaza, C -1 Block G, Bandra Kurla

Complex Bandra [E], Mumbai – 400051 To,

BSE Limited ("BSE")

Listing Department

Corporate Relationship Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Mumbai - 400 001

NSE Scrip Symbol: SMARTWORKS BSE Scrip Code: 544447

ISIN: INE0NAZ01010 ISIN: INE0NAZ01010

Subject: Disclosure under Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript

Dear Sir/Ma'am,

As per Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , Transcript of the discussion on the Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended September 30, 2025, at the analyst meet held on November 7 , 2025, is available on the website of the Company at <https://www.smartworksoffice.com/investors/> .

The analyst meet, conducted through Audio means at 11:00 A.M. (IST) and concluded at 12:15 P.M. (IST) on November 7, 2025 .

This is for your information and records.

For Smartworks Coworking Spaces Limited

Punam Dargar

Company Secretary & Compliance Officer

Mem. No.: A56987

Address: Unit No. 305 -310, Plot No 9, 10 & 11 Vardhman Trade Centre
Nehru Place, South Delhi, Delhi, India, 110019

Encl.: As above

"Smartworks Coworking Spaces Limited Q2FY26 Earnings
Conference Call"

November 07 , 2025

MANAGEMENT : MR. NEETISH SARDA – MANAGING DIRECTOR ,
MR. HARSH BINANI – EXECUTIVE DIRECTOR ,
MR. SAHIL JAIN – CHIEF FINANCIAL OFFICER ,
MR. PRATIK AGARWAL – CHIEF BUSINESS OFFICER ,
MR. ANIRUDH TAPURIAH – CHIEF OF STRATEGY &
INVESTOR RELATIONS

MODERATOR : MR. MURTAZA – KOTAK SECURITIES

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Moderator: Ladies and Gentlemen, Good Day and welcome to the Smartworks Coworking Spaces Limited Q2 FY26 Earnings Conference Call hosted by Kotak Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “* ” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Murtaza. Thank you and over to you, sir.

Murtaza : On behalf of Kotak Institutional Equities, I welcome you all to the Q2 FY26 Earnings Call of Smartworks Coworking Spaces Ltd.

On behalf of Smart works, we are represented by the Senior Management, Mr. Neetish Sarda – Managing Director; Mr. Harsh Binani – Executive Director; Mr. Sahil Jain – Chief Financial Officer, Mr. Pratik Agarwal – Chief Business Officer, and Mr. Anirudh Tapuria h – Chief of Strategy and Investor Relations.

Without wasting much time, I will hand over the call to Mr. Neetish Sarda for his opening remarks.

Thank you .

Neetish Sarda : Good morning, everyone, and thank you for joining us for Smartworks Q2 FY26 Earnings Call. The earnings presentation has already been shared with the Exchanges, and I hope you have had the opportunity of reviewing it.

I will begin with a Brief overview of our business and then move on to the key highlights for the quarter . Q2 FY26 marks our 2nd Quarter as a listed company, and the benefits of listing are already clearly visible. Operationally, we are experiencing stronger access to supply on preferred terms, which facilitates faster scale -up and accelerated enterprise inbound activity. Strategically, this market visibility is driving the closure of large deals and significantly deepening our institutional credibility. As the largest Pan -India managed office platform, Smartworks continues to lead India's managed workspace evolution. At 12.7 million square foot of total super -built-up area across 14 cities serving 760-plus clients, we have delivered another solid quarter. Our managed campus model sets us apart. As you know, we leave entire bare shell buildings and transform them into tech -enabled, enterprise -ready ecosystems that combine scalability, efficiency, and experience. Think of it as a workspace operating system, one that connects landlords, enterprises, and employees seamlessly. Our large amenity -rich campuses are micro -cities of productivity, drawing employees back to work, elevating daily experience, and fostering collaboration.

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Our performance in this quarter reflects continuous strength across four key pillars of Smartworks – High Growth, Predictable Revenue, Self -Sustaining Cash Flows, and Longevity of the Business Model. Details of this are mentioned on slide #8.

In Quarter 2 of FY26, we delivered another strong performance. Our revenue stood at almost Rs.425 crores, growing 21% year -on-year and 12% sequentially from the last quarter. With this, our normalized EBITDA rose 46% year -on-year to almost Rs.70 crores with a 16.4% normalized EBITDA margin. Our committed rental revenue stands in excess of INR4,400 crores as we speak. Annualized ROCE improves to almost 14.3%, the highest in the company's history, supported by capital discipline and operating leverage from mature centers. Smartworks remains net -debt-negative at INR59 crores, with a normalized operating cash flow of INR62 crores and an OCF -to-EBITDA close to 1x. Since our IPO, we have reduced gross debt by nearly 45%, reaffirming the strength of our self -funded asset -light model. I am pleased to inform you that CareEdge Rating CareEdge Rating recently upgraded our rating from BBB++ to A Stable, a two -notch upgrade

ade that recognizes our
balance sheet strength, strong cash generation and consistent growth.

Supply visibility has strengthened significantly, giving us a clear line of sight for the next two years and beyond. Today, we have a signed -up portfolio of up to 14 million sq.ft. and have visibility of 100% of FY26 and FY27 supply, with FY28 sourcing already underway. Despite having high visibility of FY26 and FY27, the company continues to have the appetite to take on more business because of the continued demand. For supply details, please refer to slides #12 and #13 in the deck shared.

We at Smart works continue to beat our own track record of the largest managed campuses, not just in India, but at a global level. Today, over six of our campuses are more than 500,000 sq.ft. each, and we are happy to announce that now we have the world's largest standalone campus with the Hiranandani group in Mumbai. All these large campuses have more than 8,000 -10,000 people coming to it on a day -to-day basis.

Our landlord base has also directly strengthened both in scale and resilience. 24% of our portfolio now comes from institutional developers like DLF, Hiranandani, Tata Realty and Panchsheel, while the rest is from non -institutional landlords. It demonstrates strong traction of flexible workspace and new habit formation, which is attracting larger developers also to partner with us. With no dependency on a single landlord, we operate with an unlimited runway and zero chokepoint, a model built for resilience and not reliance.

On the demand side, two trends stand out : First, deal sizes are rising sharply, led by GCCs and large enterprise clients. GCCs now contribute to more than 15% of our rental revenue, and this share is expected to continue to grow up meaningfully in the future. Our GCC offering, which we will talk about in a few minutes, is uniquely positioned to capture meaningful market share in the future.

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This quarter, we began reporting our 1,000 -plus-seats cohort, which means these are clients who have taken up more than 1,000 seats with Smartworks. This already makes up more than one -third of our rental revenue. These large enterprise deals strengthen client stickiness and tenure and are margin accretive .

Second, pre -fill from existing clients is driving faster ramp -up across new centers. Our deep relationship with clients is our biggest moat. Rentals from multi -city clients continue to be over 30%, which means that if Smartworks adds 3 million square foot of space every year, 1 million is being pre-filled from our existing client base.

With scale, our acquisition costs are declining, reflecting in brokerage which has reduced to 2.4% of our lease revenue in Q2 of FY26, with sales cycles continuously shortening. For instance, the first deal with one of our Fortune 500 clients took nine months, but every subsequent engagement we close with them was closed within two to three months. Today, we have become their pan -India infrastructure partner. We continue to maintain industry -leading cost structures, both for CAPEX and OPEX , allowing us to pass on volume, value back to our customers while scaling profitability.

I will now highlight some of the key aspects of the industry that we operate in :

India stands at the epicenter of the world's office evolution. According to Knight -Frank, the country will add 1 billion square foot of office stock in the next 10 -15 years. At the same time, flexible and managed formats are becoming mainstream. Cushman & Wakefield in its report said that flex penetration in Grade A offices has already risen from 10% to 25%, marking a structural shift in occupier behavior. Enterprises are choosing flexibility, speed, and experience over conventional long-term leases.

Within flex, managed campus has become the gold standard and Smart works has pioneered this

category in India, bringing design, technology, and flexibility together at scale. A major catalyst in the surge is global capability centers.

According to industry estimates, GCCs will drive 50 -55 billion square foot of new office demand over FY26 -27, and account for nearly 40% of the total absorptions across India's top cities. Their preference for managed campuses is natural. These models allow them faster setup, stronger compliances, and scalability, which is essential for them to grow within different cities in India.

We are also seeing a broader consumer shift from conventional offices to flex. What started off as a cost and flexibility play has become a behavioral movement. Enterprises now seek experience -led collaboration campuses that enhance productivity and employee engagement. Smart works is uniquely positioned to capture this dual shift, from conventional offices to managed models, and from smaller footprints to mega enterprise campuses.

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Let me now hand it over to Harsh, our Co-Founder, to take you through some of the key operational

and financial highlights for Q2 '26. Thank you. Harsh, over to you.

Harsh Binani : Thanks, Neetish, and good morning, everyone. Q2 FY26 has been an action-packed quarter for us, both operationally and financially.

Moving to quick updates on the operational side:

Today, our total footprint stands at 12.7 million square feet, with 9.1 million square feet operational across 49(1) centers, the largest managed office portfolio in India. Today, we manage over 235,000 seats, with two-thirds of our leased area comprising full-building campuses, consistent with our strategy. Our mature portfolio today stands at 7.5 million square feet, operating at 88% occupancy, with committed occupancy above 93%, providing strong visibility. What is noteworthy is our sustained and continuously higher occupancy, which reflects the resilience of our business model, which was tested even during the height of downturn.

To capture the expanding GCC opportunity, we have launched SmartVantage, a dedicated GCC enablement platform integrating workspace design, compliance, technology, and partnerships. This positions Smartworks as India's GCC partner of choice, and we expect our GCC revenue to double in the next couple of years.

Large deals continue to drive our momentum. In fact, our 1,000-plus-seat cohort, which three years ago was at 12%, today, has tripled to 35% of our rental revenue. These deals are long-tenure, margin-accretive, and create stronger client stickiness. Their average tenure is 50-plus months, with a significantly higher lock-in.

90% of our rental revenue continues to be from enterprise clients, with more than 70% coming from clients occupying over 300 seats, ensuring visibility and predictable cash flow. Our retention rate during the quarter was 74%, compared to 94.5% in Q1, primarily due to a healthy churn from an overall portfolio perspective, as re-leasing has seen higher realizations. For more details, refer to our shareholders letter.

Coming to the financial highlights, our revenue continues its steady climb, with each quarter compounding on prior momentum. Our Q2 revenue from operations stood at Rs.425 crores, which is up by 12% from Q1, and 21% from Q2 of FY25. We aspire to continue growing at 30%-plus in the near-term.

(1) 54 was mentioned in error. Figure corrected above.

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Our normalized EBITDA was approximately about Rs. 70 crores, up from 13% from last quarter, and 46% year-on-year, with an overall normalized EBITDA margin of 16.4%. Our PBT was at around Rs.25 crores, up 40% quarter-on-quarter, with margin expansion to 5.8% from 4.6% in Q1. Our EBITDA will continue growing faster than revenue, driven by critical scale and operating leverage, while our ancilla

ry business lines will eventually grow it further.

Our OCF-to-EBITDA continues to be very healthy. In this quarter, as a strategy towards our growth, we have added significant new capacity, for which the security deposit payout has been done. These will become operational in FY27 and have had a temporary impact on our OCF-to-EBITDA in lieu of higher future growth. For more details, refer to our shareholders letter.

Pre-IPO, we had scaled up our business in just Rs.500 crores. Our asset-light model continues to prove that efficiency and growth can co-exist. Our ROCE improved to 14.3%, nearly double of FY25 levels. We expect this to double in the next two years, and we continue to see more headroom for ROCE growth beyond that as well.

Our terms of trade continue to be best-in-class. Our receivables were under seven days, and we have eliminated any asset liability mismatch for at least the next two years. We are accounted by IND-AS 116, which requires us to create non-cash accounting provisions. In the medium term, the reported IND-AS PBT and normalized PBT will also converge as our accounting provisions will start to reverse, and business profits increase manifold.

To summarize – Similar to Q1, Q2 has demonstrated consistent revenue growth, strong operational efficiency and continued progress towards profitability, despite ongoing depreciation and finance costs, which is just optically higher on account of IND AS accounting. Our operating leverage will now be a key driver of our margin expansion, powered mainly by center-level occupancy gains, which will improve as campuses move from breakeven to 80% and beyond to 90%-plus.

Both our corporate and brokerage costs will continue to reduce with scale and this will also enhance our margins. In fact, our corporate costs as a revenue from operations has declined from 13.8% in 2022 to 7.9% in H1 of 2026.

As our new supply stabilizes and we surpass 12 million sq. ft of mature centers, the expanding base will further enhance our margin, with the mature portfolio increasingly driving profitability. At this scale, we expect to transition into self-sustaining CAPEX model, enabling 25%-30% annual growth

without any additional funding. Strong cash generation will continue to support healthy liquidity and cash balances in the near term.

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Now, moving on to guidance about our H2 '26, we are well-positioned to accelerate our revenue growth, with several new large deals continuing to go live. This will also translate into expanding margins further in the second half of 2026, with operating leverage playing out. Our growth is expected to also accelerate because a lot of our new capacity will mature. So, just to give a perspective, we will have 1 million sq .ft. of new operational supply and additionally 1.4 million sq .ft. of our current capacity will mature in H2 '26.

Our ancillary revenue growth is also set to double, with VAS growing very rapidly and VAS continuing to grow. Every square foot now sweats more revenue, and to clarify on VAS, we only account for take rates in top line for transparency.

Smartworks remains on track to deliver consistent growth, expand margins, and sustain shareholder value. Thank you so much for your patient hearing. We are now open to questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Girish Choudhary from Aventus Spark . Please go ahead.

Girish Choudhary : Hi. Thanks for the opportunity. Congratulations on the East bridge deal as well. Just on this, if you can talk a bit about this deal in terms of timelines, the rental cost, the CAPEX cost, and also when do you see this to start generating revenues for you?

Neetish Sardha: Hi. This is Neetish. Girish, the East bridge property is on a stretch on Vikhroli, which is n

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becoming the center of Bombay because it is closely connected to all parts of Bombay. We are seeing a significant amount of demand coming in from our existing customers who are also willing to expand. One of the things that we mentioned earlier was that more than 30% comes from our existing client base and most of our growth is now informed by our clients coming back to us and telling us which part of the country or city are they looking at growing in. So, we have a very healthy demand for this particular location. This property is currently under construction and will be handed over to us by the builder in the second or third quarter of next year . The property is over 815,000(2) square foot, which will have over 10,000 people coming to it on a day-to-day basis. It will require a CAPEX of close to about Rs.110 crores when the entire building gets occupied , and obviously, the entire CAPEX is not going to be upfront , it is going to be in phases as and when the occupancy increases . But, if you talk about the demand for the assets , we are seeing a significant demand already getting built up. Since the property is still about eight, nine months away, we are still observing the demand coming in. But you will definitely see that the ramp-up of occupancy ; we typically take about 12 - months to mature a center to get to that 65 -70% occupancy.

(2) 820,000 was mentioned in error. Figure corrected above.

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In this center, you will see that ramp-up happen much quickly because of the kind of demand that we are getting from our existing customer base itself , and that is the reason that we went ahead and chose expanding in this location. Hopefully, that answers your question.

Girish Choudhary: Got it. If you can talk about the rental cost and the lock-in period, if you have any details ?

Neetish Sardha: The rental cost is about Rs.120 per square foot. We have leveraged our scale and made sure that we have gotten a rental which is attractive in the market considering the 800,000 square foot take-up that we have taken. Considering the approximately Rs.120 -121 rental, it is about 9.4 or 9.5 crore rupees rental on a monthly basis. The property is only going to get handed over to us in Q3 of next year. Hopefully, by then, we will have a pipeline developed already. Currently, we have a very healthy pipeline visibility of about 30 %-35% which is from our existing customers , but we still have a runway of about eight, nine months before the property even gets handed over to us.

Girish Choudhary: Got it. Got it.

Harsh Binani : Girish, to add to Neetish's point, we also want to emphasize the quality of demand. Two interesting trends that have been observed is, one, we are getting mega 1,000 plus seater deals. So our conviction on Hiranandani is largely because we also expect a lot more mega deals to help us ramp up quickly . Secondly, Maharashtra is now emerging as a very key state for GCCs. We are continuing to see southern states get a lot of demand, but the base in Maharashtra is much lower. So, similar to our prior property as well in Navi Mumbai with Tata Realty, we do expect significant GCC inbound demand as well for both of these locations.

Girish Choudhary: Got it. Yes, that is helpful. And secondly, just a bit on the retention ratio, which we have seen falling

from 90% -plus to 74% , if you can talk a little bit about the nature of this exit and you also mentioned that you have been able to re-lease at higher spreads, but maybe if you can share how much higher on all those details ?

Harsh Binani: Sure, Girish. We have mentioned more details about this in the maiden shareholder letter, which we have also shared. To provide you a high-level perspective, while we do not comment on individual deals, two large renewals ended in Q2, which came from the COVID period. Both spaces have been

leased at higher yields, which is largely driving this healthy churn and explains the retention. We expect the retention in foreseeable future to continue upwards of 80 -85%, and at the same time, we will continue having some healthy voluntary churn as well in this. Thank you.

Girish Choudhary: Got it. Thanks.

Moderator: The next question comes from the line of Shamit Ashar from Ambit Capital. Please go ahead.

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Shamit Ashar: Yes, hi. Congrats on a good set of numbers and thanks for the opportunity. So a couple of questions from my end. Your IT client mix has declined from around 42% to 40% at present. So , considering your recent acquisition in Vik hroli, which primarily houses IT offices, what are your occupancy projections for that center? As of FY25, around 18% of your landlords were institutional, and that figure has now increased to around 24%. So Smartworks traditionally had stronger negotiation power with the non-institutional landlords. So , how does this shift towards partnering with institutional landlords impact overall pricing strategy and economics?

Harsh Binani: Thanks a lot for the question. Over the last three years, the company has intelligently diversified its sectoral base , and today, non-IT ITES account for more than 60% of our demand, largely from consumer , healthcare and manufacturing sectors . While IT /ITES continues to be a very important part of our portfolio, what we have recently also seen is influx of a lot of GCC clients, which now accounts for more than 15% of our rental revenue. So , we expect that the Vik hroli campus will ramp up quickly on back of a strong pre-leasing demand and also our sectorally diversified base, which not only includes IT /ITES , but several other more sturdier sectors. Prior to this, Smartworks had not expanded very aggressively in Bombay as we were building our brand. And Bombay, as you will notice, has a lot of BFSI and headquarters, which typically take a little longer to convert. But we are at that juncture now, where we will continue to see a lot of headquarter conversion , and also, we will penetrate more deeply into the BFSI segment in Bombay with both the new campuses that we have recently leased.

Neetish Sarda: And just adding on to that, and to your second question of institutional developer and partnering with them - I think for the longest time, Smartworks, with its large campus platforms, used to take from just non-institutional landlords, because the brand visibility was not there. Now that brand visibility has increased significantly, we are seeing even large developers partnering with us and giving us the kind of deals required for Smartworks to take up the entire campus and giving us their inventory as well.

So you are seeing these numbers go up because the institutional developers have also started partnering up with Smartworks as a model instead of just giving us a floor or any other flexible workspace, they are giving us that entire building because of our ability to recreate the campus that we have been able to successfully develop on the non-institutional side. So I think that is a very positive outlook, because they are opening up to our model. And in terms of financials, obviously, we now have the ability of negotiating with scale. And we are seeing the same sort of numbers that we are able to achieve on the institutional side as well.

Shamit Ashar: Got it. Thank you.

Moderator: The next question comes from the line of Yashovardhan Agarwal from IIFL Capital Services Limited. Please go ahead.

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Yashovardhan Agarwal: Yes, hi. Thanks for this opportunity, and I hope you all are doing well. Just a couple of questions from my side. So if you could explain the overall cycle of signing and operating a new center , let us say from s

elling LOI to occupying it, leasing it to our customers , how much time does it take for us to reach break-even occupancy and then for that center to reach maturity ? And relating it with the cash flow as well, that at what stage, how much cash is required , if you could explain that, please ?

Neetish Sarda: Sure. Absolutely. So we typically take a building about five, six months before the building is completely ready since Smart works is taking up large individual buildings and converting them into campuses. We do not look at a floor in a building or a part of a building. So the decision to take a

building first is driven by the demand from our existing client base. About 30 -35% visibility of the building's occupancy comes from the pre-demand that we have for that particular location. So we go ahead and only sign that building once we have that demand in place.

Once we take up a building, usually five to six months before the builder is ready to hand over the space, we sign the LOI, we start preparing the entire document for the building, the entire design deck, tech enablement, and start marketing the asset outside our existing customer base as well. On the day that we take up a building, that journey starts and lasts a month. It takes us about four months to do all the construction of the common amenities; so we will build out the cafeteria, gym, your lounges, all your collaboration zones, sports zones, all of those amenities that you see in a Smart works campus, will all be built out in the first four months with the pre-occupancy which is already committed on a building, which is typically that 25 %-30% mark at least which starts in the first four months itself. From there, the journey is a 12-month journey to get towards maturity. Within the first 12-months, we get to about 65 -70% occupancy. We break-even at about 60% occupancy. So within the first 12-months, we get to that 65 %-70% occupancy, and on an average, over the last few years, we have ramped up to about 90 %-plus occupancy in 14-months. That is the journey that we have seen on an average for most of the centers in the last two to three years.

If you look at that trend, because of the brand value that Smart works has created and because of the larger customer base which is now expanding further and further, we are seeing that that pre-fill is happening much quicker and quicker, allowing Smart works in its unique model to take up even larger buildings because we are able to fill it up with our existing customer base or with 1,000-plus-seater deals. Harsh had mentioned that 35% of our rental revenue comes from customers who are taking 1,000-plus-seater seats in an office. It means that once they come and commit to these 1,000-plus seats, our occupancy ramp-up happens much quicker. We are a pioneer in this. Despite having the largest operational footprint of over 9(3) million square feet today, we only have 760 customers occupying those spaces. So it means we are taking these large campuses, but we are also filling it up with large, sticky enterprise clients who are committing to much longer tenures, making sure that this model is more sustainable and predictable.

(3) 10 was mentioned in error. Figure corrected above.

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Yashovardhan Agarwal: Got it, sir. Pretty much helpful. And, sir, you did mention the cash flows part. When and where do we do the CAPEX and the security deposit, so could you please address that as well?

Neetish Sarda: Sure. So we usually give a security deposit six months before. 2-3 months before the handover is supposed to happen, we give about 1-2 months of security deposit to the landlord, and then on the handover, the remaining amount of security deposit is given. The security deposit is given for the entire building on the day of the handover, which is typically 3-4 months for Smart

works on the total rental for the building.

So if we are taking a building, say, for Rs.1000, we give Rs.300 to 350 of security deposit on day zero when the builder hands over the space to us. We then spend on the common amenities, which is typically 10 -12% of a building and the pre-committed space, which is about 25 -30% of the space. So 50%(4) of the entire CAPEX goes out within the first four months of the property being handed over to us. So if we are taking an 800,000 square foot building, we will deploy that initial 40 -50 crores to do that entire CAPEX for that building in the first four months itself, which is for the common areas and the pre-committed clients for the building. After that, we only build out the spaces once a client comes and commits to the spaces within those buildings. So we do not pre-build and keep any inventory. We only build it out as and when the client keeps coming in. So the CAPEX outlay is actually distributed. When the client is coming and committing to Smart works, they also pay us a security deposit. So on the security deposit arbitrage, Smart works actually negates the security deposit that we pay to our landlords. In fact, we get some top-up on that from the clients that come to us. And since we are only building out the space after the client has signed with us, they pay us a full security deposit even before we start construction. So we are able to manage our cash flows by doing that.

Yashovardhan Agarwal: Got it, sir. Thank you. Sir, in the initial remark, you mentioned that asset light model is helping us scale faster. So could you please touch upon that as well, because I think we are doing 100% of the CAPEX and it is just a state-of-the-art model, so what is asset light in that?

Neetish Sarda: Asset light, we mean, sir, that because we are not going ahead and buying these buildings, the capital which is required to be invested on CAPEX is only Rs.1,350(5) per sq. ft. CAPEX that we typically do to build out the interiors of the office spaces. That is only a fraction of the cost of the building.

Because of our scale, we have been able to reduce our CAPEX outlay significantly, which is one of the lowest in the industry and without compromising on quality for the customers, looking at the kind of customers that are coming into the Smart works ecosystem. Because of this ability, we have been

(4) 42 was mentioned in error. Figure corrected above.
(5) 1,300 was mentioned in error. Figure corrected above
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very, very capital -efficient. If you look at our growth, pre -IPO, we have only spent Rs.500 crores in equity that we have raised in order to build out the entire business and expand the company to over Rs.1,370 crores in revenue last year. This year, we are already seeing significant growth in the first half, growing from Rs. 664(6) crores in H1FY25 to nearly Rs.800 crores already in H1FY26 . So that asset -light model is because our CAPEX spend is so low that we are able to deploy with less capital, increase our footprint significantly, and we are not buying any of the assets.

Yashovardhan Agarwal: Okay. Thank you. If I look at your cash flow, I think it is around Rs.186 crores of CAPEX that we have done in the first half. So for how many fields would that be?

Anirudh Tapuriah: Thanks a lot for that question . Anirudh this side . As far as the CAPEX deployment is concerned, we have actually given a detailed breakdown on page #35 of our investor presentation, that how are we calculating our normalized gross block. And when you look at our normalized gross block, our H1 FY26 footprint was approximately 9.1 million square feet. So for 9.1 million square feet, our normalized gross block stands at approximately Rs.1,400 -odd crores. And this includes maintenance CAPEX as well for the centers which have actually completed around

three years.

Yashovardhan Agarwal: Okay. Thank you for that. And if I may ask one more question on the margin side. So currently, we are expanding very fast. I think there would be an impact from the new centers which are coming up as well, which are not mature yet. So sir, if I am looking at Smart growth, at a center level, what are the EBITDA margins that we could be making and post all the corporate expenses as a business, what could be the margins that we could be making?

Anirudh Tapuriah: So from a center level EBITDA margin perspective, what we have actually disclosed is around a 16.4% kind of a corporate EBITDA margin. If you look at our corporate cost, our corporate cost is around 8%. So from a center level EBITDA margin perspective, you can actually add both of them and it will come to approximately 23 % to 24 %-odd. That is the range where we are actually operating on a center margin.

Harsh Binani: And to add to Anirudh's point, that is at an overall level where the mature center margins are higher than the overall blended margin because there is an initial period where the new centers pull down the margin as they ramp up and become mature. So on a steady state basis, while we continue at a high growth pace, adding 2.5-plus million square foot every year, we expect that once the company hits the critical scale of 12 million square feet, which is going to happen in a year and a half from now. At that point, the denominator of the new centers will not likely pull down the overall margin and you will continue to see margin expansion happen in the subsequent quarters . With our increasing scale, operating leverage is playing out well at the center level and we continue to see efficiencies

(6) 680 was mentioned in error. Figure corrected above.
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post-IPO both on our corporate cost as well as brokerage cost, both of which will reduce as a percentage of our revenue and also enable us to expand our margin. We have disclosed more of the details in our shareholder letter as well.

Yashovardhan Agarwal: Okay, sir. Thank you for taking my question.

Moderator: The next question comes from the line of Shiv kumar Prajapati from Ambit Investment Advisors. Please go ahead.

Shivkumar Prajapati: Hi, sir. Thanks for giving me the opportunity. So, sir, my first question is on the GCC front. So, right now it forms around 20 % to 25% of our overall flagship and obviously going forward as you highlighted at the initial remarks as well, it would form around 35 % to 40% of the overall flagship. So, I just wanted to understand, are you calling out any specific plans to capture this demand going forward? Do these GCCs largely belong to BFSI, IT sector or some other sectors?

Harsh Binani: Certainly, thank you for the question. GCC is a core area of focus for us and today it accounts for more than 15% of our rental revenue. Interestingly, the GCCs are not limited to only IT /ITES clients. We have a very well diversified client base, which also includes BFSI, consumer, manufacturing and healthcare. And we are in fact seeing GCCs across the board in these sectors as well. We had mentioned that we expect the GCC revenue to double in the next couple of years. Keeping that vision in mind, we have launched a new product called "SmartVantage." What we are increasingly seeing from GCCs is that they prefer a one -stop solution where the offering is not limited to workspace, but

also takes care of their other needs, including onboarding, legal, compliance and taxation. So, we have added significantly large partners who are able to deliver this core service as well. And together with them, we do a joint GTM where all the needs, including staffing and workspace, get taken care of for GCCs. And today, we also have a presence not only in Bangalore and Hyderabad, we are truly a Pan India player. Our top six

cities contribute more than 80% of our footprint. So, in markets such as Gurgaon, Noida, Pune, Bombay, where we are runaway market leaders as well, we are continuing to see a lot of inbounds from GCCs. And therefore, this is going to be a Pan India multi-partnership model, which will help us double this revenue in the coming years.

Shivkumar Prajapati: My next question is, would you be able to share about the nuances zone-wise or city-wise? I just want to understand, is there any supply constraint or saturation in the market that you see going forward? And if you could explain us, like, which zone or city is more challenging to operate, something like that?

Neetish Sarda: So, if you look at our strategy of taking large individual buildings, what makes our model very unique and scalable is the fact that for Smartworks to grow at 2.5 to 3 million square foot every year, we need to add five to six buildings, considering the average size of buildings that we are taking now is 400,000 to 500,000 square foot. So in terms of supply, just because of the conscious choice of taking large format buildings, our entire portfolio today has over 12 million square foot with less than 60 Smartworks Coworking Spaces Limited
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centers, which means that these assets are large campuses, which allow us to create an entire ecosystem within these buildings, which is paralleled by none. We have this ability of creating a large gym, creches, cafeterias, all for our customers, which can be standardized for their requirements across the country. We realize that with this model, we have the ability of actually scaling in any part of the country. We are currently tracking multiple assets across different cities, and wherever we are seeing the most opportunity with respect to demand coming from our existing client base, that is where the maximum amount of capital deployment is going towards.

In terms of city growth, we have been seeing opportunities coming from almost all tier one cities of India. The top nine cities are actually seeing a significant amount of growth. If you look at our trajectory, with only 500,000 square foot of space in Mumbai up till four or five months back today, we have scaled up to almost 2 million square foot of space just in the region of Mumbai. So we are seeing a significant amount of demand coming in even from mature cities, where supply might be less, but because of our unique ability of taking up large individual buildings, we have been able to scale up that entire operations from 0.5 million to 2 million square foot with just two or three buildings. So supply is not a challenge for Smart works. When it comes to demand and cities where it is coming from, we are seeing a significant amount of demand coming from cities like Pune, Hyderabad, Bangalore, Noida, Chennai, which are in the development stage. More mature cities like Bombay and Gurgaon, there is some sort of a supply challenge there, but in terms of demand, there is a significant amount of demand coming from these mature cities now, because the supply is fairly limited compared to some of the developing cities. But with our unique model, we are able to solve that supply challenge.

Moderator: The next question comes from the line of Vandit Jain from Sage One Investments. Please go ahead.

Vandit Jain: So, my first question is around the cash flow. So, since we have seen a high cash outflow due to security deposit for the East bridge Center, now, when we get the security deposit from the customers, does that happen when the demand commitments come in or does that happen when we get the center, let us say, in Q3 FY27, so, when the cash inflow is expected to happen?

Neetish Sarda: So, that also typically happens two, three months before we even hand over the asset to the customers. Usually, the deals with the customers would get signed closer to the handover of the

building before

we start deploying our capital. Currently, the capital outflow or the money which we spend is only towards the security deposit that we have given for the building. Once the existing customers are looking at the building, we sign up the building; closer to probably three, four months before we hand over the building, they give us their security deposit, so, you start seeing that inflow coming in much before we start spending on the fit-out for the client. So, there is a little bit of a mismatch just because we are now looking at blocking supply for FY27. For most of these years, pre-IPO, Smart works was looking and growing at a pace in which we were blocking the supply only for this year. Now, with our scale and with our ability to take these large campuses, we are not only blocking supply for the Smartworks Coworking Spaces Limited
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same year, but we are also going ahead and blocking supply for the next year. Since our IPO, we have gone ahead and signed more than 2.7 million square foot of space. And that is where some of the security deposit outflow has gone. But you will start seeing realization of security deposit three to four months before the property is handed over to us by the landlord, and much before we start spending towards the CAPEX for the customer.

Harsh Binani: And to clarify and add to Neetish's point as well, the security deposit is not specifically only for Hiranandani. In the quarter that has just gone behind us, we have added and paid security deposit for more than 2 million square foot. And as Neetish has clarified that the entire security deposit for properties which are going to get handed over follow a time-based milestone approach. It is not paid out on day one. It is paid over a period of time. While there is a mismatch, that mismatch is also offset with a lot of demand security deposit, which will also start to come. So, I just wanted to clarify the 2 million square-foot point which has driven the security deposit outgo in light of the immense growth opportunities that we are seeing ahead of us.

Vandit Jain: Got it. Understood. And my second question is around the blended occupancy level. While for mature centers, you mentioned it is around 88%, but at blended level, it is down to about 81%. So, any color in that and any indication going forward, how we should see that number?

Harsh Binani: Thank you for that question. We have mentioned more details about it in the shareholder letter, but the 81% is overall at a blended level where the denominator is also playing a factor because we have added significant capacity, which has brought it down. Our mature centers today are at 88% with a committed occupancy of 93%, and our overall committed occupancy is also close to about 87%-plus. So, that is the sort of visibility we already have today.

Regarding the occupancy, what is unique to Smartworks is the fact that we not only have a higher average occupancy, but the occupancy remains high for a sustained period of time, providing a high level of visibility in terms of our revenue and cash flow. Hope that answers the question. Thank you.

Vandit Jain: Got it. Thanks.

Moderator: The next question comes from the line of Vikrant Kashyap from Asian Market Securities. Please go ahead.

Vikrant Kashyap: Sir, good morning. My first question is on your churn. So, you did mention that your churns are higher and you would see a healthy churn going ahead and these are related to your COVID time occupancy. I just wanted to understand that does this churn has been opted by you to let the client go or the client decided not to renegotiate the rental at the current levels and how has that deal happened, and even if we are going to see healthy churn going ahead, and so when this occupancy will come up and this retention rate will come to a normalized level?

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Neetish Sarda: Sure. So, if you look at our retention, the retention stands at 74%, but if you look at our committed occupancy as Harsh has already mentioned for these centers, they are already at about 87%-88%. So, while these churns have happened for clients who signed up with Smartworks back in 2020 and 2021 because we have a four-to-five-year tenure with most of these customers, it is a voluntary churn that Smartworks is doing for customers who are paying at a number which is below what others are paying at in the market today or other customers of Smartworks are paying in a particular building.

This churn is going to happen; this voluntary churn is good for the company because you will see this happening over the next few quarters, especially for a lot of clients which were signed during the first two phases of COVID and are all coming up for renewal at this point of time. So, clients who are willing to expand or willing to increase the pricing and get to today's level, we are going ahead and renewing with them. But then there will be certain clients who have scaled up significantly and economically it might not make sense for them to be in that particular location. We are also trying to see if we can take those clients and move them maybe to a different location in the city and reduce the cost for them.

You will see churn coming in over the next two to three quarters, because it is a timeframe which is four to five years after COVID. Either those clients will go ahead and pay more or they will be shifted to a different center or they will downsize. In all these three cases, you will see that churn number getting impacted. But with that, you should also look at the committed occupancy. The committed occupancy stands at 88%. So, it means that even if the client is churning out, we are immediately finding a different client to come and take up that space.

Vikrant Kashyap: Yes. Thank you for the clarification. Two more things. One, your other operational revenue has doubled compared to last quarter. So, can you please give us some details of the components of the revenue, and are they sustainable? And my last question is you have just reduced your number of city presence to 14 from 15 in the scenario where every player in this space is increasing their presence to multiple cities. So, what is the rationale behind that and how should you look at your expansion into newer cities? Thank you.

Anirudh Tapuria: Thanks a lot, Vikrant. As far as the detail on other revenue is concerned, in Q2 FY25, our other

revenue stood at approximately Rs.28-odd crores , it has increased to Rs.45-odd crores in Q2 FY26. Out of this Rs.45-odd crores, revenue from FAS services contributed to approximately Rs.20-odd crores and revenue from ancillary services contributed approximately Rs.25-odd crores vis-a-vis the same numbers in the previous year were Rs.16-odd crores for revenue from FA AS and ancillary was Rs.12-odd crores.

Vikrant Kashyap: Okay. So, these numbers are sustainable?
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Anirudh Tapuriah: These numbers are at a significant pace. If you look at these numbers, they have already grown by 25%-30% and we are seeing these numbers over the next few quarters is in fact going to expand even more.

Vikrant Kashyap: And a clarification on your contraction in the presence of cities , that will be helpful ? Thank you.

Neetish Sarda: The presence of cities also depends on the kind of traction that we are getting. You are seeing us increase our footprint more and more in tier one cities. We were in a situation where in one of the tier 2 cities, the building that we work with could not allow us to scale further. So, we have gone ahead and started looking for buildings which is much bigger in size. It is one particular building in Jaipur where we would not have a scala

bility option and we have to move into a larger individual setup. And that is why you will see that reduction. But in fact, in the coming few quarters, you will see us increase our footprint by getting into a couple of other tier 2 cities as well.

Vikrant Kashyap: Okay. Thank you and best of luck.

Anirudh Tapuriah: I just wanted to add one more aspect as well. Jaipur, which Neetish mentioned, contributed just 49,000 -odd square feet.

Vikrant Kashyap: Okay.

Neetish Sarda: And just to add to the guidance that we have, if you look at last complete year, we were at about Rs.20 to 25 crores of revenue from that business this year. In the first half itself, it scaled up to about Rs.40 crores. You will see this number scale up over the next few quarters and there is a FAAS guidance which we have also given in the presentation.

Vikrant Kashyap: Thank you, sir.

Moderator: The next question comes from the line of Aayush Saboo from Choice Institutional Equities. Please go ahead.

Aayush Saboo: Yes, congratulations on a robust set of numbers and the new deal signed. Could you just throw more light on the SmartVantage concept that we have introduced like how would this flow into our revenue and what is the likely growth that we could see from the same?

Harsh Binani: Thanks, Aayush, for the question. SmartVantage was a new offering exclusively built for GCCs who are looking for agility and speed. As you know, we are able to deliver offices very quickly. And GCCs will be driving about 40 to 45 million square foot of incremental new office demand in the next two years. And in light of this large incoming demand, we have also now tied up with several partners who provide complete end-to-end solutions which a GCC requires. So, SmartVantage will not only take care of their workspace needs, but through our partners, take care of needs of staffing, Smartworks Coworking Spaces Limited
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legal, tax, compliance , and onboarding . Although the offering is currently still new and it is in its infancy stage, we expect that our current GCC rental revenue of 15% will likely continue to double in the next few years in light of the new offering that we have launched. And this will not only take care of new GCCs which are coming, but given the large suite of GCC clients that we already have in-house, we are also actively exploring expansion opportunities with them across our pan-India footprint.

Aayush Saboo: Okay . Thank you. So, I just wanted to clarify the revenue from this SmartVantage segment, would this come under our normal managed office portfolio business or would this come under an ancillary service or a new revenue stream ?

Harsh Binani: It will be coming in the primary revenue , not separately.

Aayush Saboo: Okay, okay. Thank you, sir. And just one more point I wanted to clarify. So, the center-level EBITDA margins post-corporate overheads would come in the 23 %-24% range like, what would be our center-level EBITDA margins if we factor in the corporate overheads too?

Neetish Sarda: If you look at blended center-level margins, our normalized EBITDA stands at about 16.4% with approximately 8% of corporate cost which is coming in. There is also a customer acquisition cost of brokerage that we paid. So, if you look at our blended center-level margins, they are closer to between 26-30% because there is a mix of mature and immature centers. With more immature centers coming up, they drag our profitability on the center level a little down for the first 8-12 months because that

is all your costs have started, but your revenues take a little bit of time to ramp up. But despite the high growth that Smartworks is seeing, you will see that our margins are still being sustained and we have grown from 13.4% in the same quarter last year to more than 16% this year on a normalized EBITDA.

Aayush Saboo: Okay, okay. Thank you. All the best for your future.

Moderator: The next question comes from the line of Utkarsh Somaiya from Eco Quantum Solutions Pvt. Ltd. Please go ahead.

Utkarsh Somaiya: Thank you for the opportunity. I wanted one data point. For the first half of FY26, can you tell me Pan India the supply and the absorption numbers for flexible workspace? And if it is tier 1, tier 2, you can bifurcate that would be great? If not, you can give me a pan-India number?

Harsh Binani: Thank you for the question. Just to clarify, is this for the industry or Smartworks?

Utkarsh Somaiya: Industry, but you can also give me Smartworks' number.. I want to understand how strong the demand is versus the supply, hence, I want absorption numbers and incremental supply numbers.

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Harsh Binani: So look, just to provide you a macro perspective, the industry estimates vary depending on where it comes from. But office leasing has had a record high over the last few years and we have seen upwards of 70 million square foot of absorption. Within this consistently flex space has been doing more than 20% to 25% of the absorption. So it continues to be a major driver of overall growth of office market, which has been going very steadily. So, you can expect very easily upwards of between 15 to 18 million square foot of new flex space absorption every year. So that is the broader macro number. And within this, obviously, you have several players as well as everyone's different strategy based on the supply absorption. So that is the context. And from Smartworks point of view, we have 1 million square foot of new supply going live in H2 and about 1.4 million square foot of supply maturing during this time period, which will drive incremental margin in H2 for us.

Utkarsh Somaiya: Okay. So you said you expect 15 to 18 million square feet of new flex space absorption each year like FY26, FY27, FY28, is that what you meant?

Harsh Binani: That is right.

Utkarsh Somaiya: And what is the same number for the H1 FY26? See, I have the numbers till March 2025 from the RHP. But from March '25 to September, can you give me the flex space absorption number for the industry?

Neetish Sarda: It is approximately the same number. There is nothing being published right now. So we will have to come back on that and we can try to pull that out. But the projection for the first quarter, if you look at the first half of this year, in terms of total real estate demand, the year was projected to be about 70 million square foot. We have already crossed about 48 million square foot in the first half itself. So H1 has seen a significant increase in demand. Typically, H2 does better than H1 in most scenarios. But this time, we have seen a significant jump in H1 coming in. Almost 25% to 30% of that has come from flex. And this might not be the exact number, but this is the predicted number of about 25%, which is there. We can try to pull up some of the industry documents to see if someone has projected the first half of this year and the total flex demand that has come up, but it should be around that 25% to 30% mark.

Utkarsh Somaiya: Would it be fair to assume that the absorption is either equal to or more than the incremental supply for the industry?

Neetish Sarda: I can comment for Smartworks. And for us, if you look at our total demand, our committed demand stands at over 88%. So while we are going ahead and growing at the pace at which we are adding more than 2 million square foot, which we have already done in the last few months itself, still our committed occupancy stands very, very high at about 88%. So while we are taking these assets, we are also seeing customers come and take these assets from us, making sure that our committed occupancy is steady. So yes, at least for us, we can say that the properties that we have taken out of Smartworks

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the 18, if we have gone ahead and taken 2 million plus square foot, that 2 million is standing at about 88% committed occupancy.

Utkarsh Somaiya: Okay. Thank you so much and best of luck.

Moderator: The next question comes from the line of Sourabh Gilda from JM Financial. Please go ahead.

Sourabh Gilda: Congrats on signing the largest center in Mumbai. Just wanted to get your comments on the demand for large spaces. You highlighted that the size of deal signings are increasing sharply and it is also

reflected in contribution from 1,000 plus cohorts. So there has always been a thought that after enterprises grow to a certain point it may make sense to switch from a flex to a conventional office center, but that is clearly not the trend given your numbers and your comments on the size of the deal that are taking place. So, if you can just throw some light on what is the thought process from a tenant perspective in terms of signing a flex space?

Neetish Sarda: Absolutely. I think, tenants are not just looking at flex space as an option till they get to a critical scale. If you look at Smart works campuses, while Hirani building in Vikhroli is now our largest campus, we have multiple campuses which are already operational and standing at 90 %-plus occupancies across the country. We have buildings like AP 81 in Pune, Malpani Agile in Pune, 43 in Pune, Vaishnavi Tech Park in Bangalore. These are all massive assets of 650,000 square foot plus buildings, in which more than 10,000 people come on a day-to-day basis to work. So these assets are something that Smart works has created via this model in which our ability to take up these buildings and transform them into campuses is shown off. So when a customer comes and they take space in this building, they are not just looking at flexibility, they are looking at for the value pricing in terms of costing, they are looking at getting a standardized experience for their employees across different cities; whether they take 200 seats in a location or 1,000 seats in a location, their employees will get access to the similar size of a gym, canteen, cafeteria, all of the common amenities that are required. So while flexibility is typically there in co-working and in back-to-back deals, with Smart works, most of the tenants who are coming are looking at us as Pan India partners, scaling their businesses across offices across India and moving them into Smart works centers. How I can demonstrate this is if you look at our numbers, we have over 760 clients currently, which is a much smaller cohort of clients. While 760 is a large number, it is much smaller compared to a lot of co-working demand that comes where the number of clients might be in thousands. So our clients look at Smart works as a Pan India partner. They are moving not only their offices in a particular city, but they are moving their Pan India portfolio into Smart works centers just because of the pricing, just because of the flexibility, because of the amenities that their employees are getting, and the fact that we can give them that scalability option to grow from 100 to 1,000 to 2,000 within these campuses or within campuses of Smart works, where they do not have to worry about managing and running their offices anymore. This metric is something which is very, very unique to Smart works.

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Sourabh Gilda: Got it. And just as a follow-up, when you say contribution of 1,000 plus may increase, it may not necessarily mean that this 1,000 plus is at one location, right, from the same client across your portfolio?

Anirudh Tapuriah: Yes, it is in multiple cities.

Neetish Sarda: It is in the same location, but there might be deals which are 1,000 -plus, the same client might be sitting in two different cities with 1,000 -plus

s teams. So, it is a mix of both.

Moderator: The next question comes from the line of Vandit Jain from Sage One Investments Manager, LLP. Please go ahead.

Vandit Jain: I had just one more question. Around the blended per-seat rental that we are getting, it stands at around Rs.7,500 for the occupied seats. So, with the churn that we have seen in this quarter, do you think that number could go up or any color on that?

Anirudh Tapuriah: From a per-square feet pricing perspective, Vandit, our blended revenue realization stands at approximately Rs.175 as far as Q2FY26 is concerned. When you look at the numbers for example, in the last year, say it was around that Rs.160, Rs. 165 kind of a mark.

Harsh Binani: So, on a go-forward basis as a function of increased occupancy as well as the rentals reflecting the current market reality, you should expect to see the realization per-square foot continuing to go up.

Vandit Jain: Okay. Got it. Thank you.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question for today's call. I would now like to hand the conference over to Mr. Harsh Binani for closing comments.

Harsh Binani: Thank you very much for attending our second earnings call after listing. We are very grateful for your time and we have this time also shared an additional shareholder letter which we thought will answer a lot of the pressing questions that you might have on the industry as well as on Smartworks. So, this is our humble attempt to address some of those perspectives and we look forward to continuous robust growth in the coming quarters and again engaging with you for our next earnings call. Thank you very much.

Moderator: On behalf of Kotak Institutional Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purpose)

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Q3 FY26 Earnings Conference Call "
January 16, 2026

MANAGEMENT : MR. NEETISH SARDA – MANAGING DIRECTOR
MR. HARSH BINANI – EXECUTIVE DIRECTOR
MR. SAHIL JAIN – CHIEF FINANCIAL OFFICER
MR. ANIRUDH TAPURIAH – CHIEF STRATEGY AND
INVESTOR RELATIONS

MODERATOR : MR. SOURABH GILDA – JM FINANCIAL
INSTITUTIONAL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Smart works Q3 FY26 Earnings Conference Call, hosted by JM Financial Institutional Securities Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantee of future performance and involve risk and uncertainty that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand over the conference to Mr. Sourabh Gilda from JM Financial Institutional Securities Limited. Thank you and over to you, Mr. Sourabh.

Sourabh Gilda: Hi, on behalf of JM Financial Institutional Securities, I welcome you all to the Q3 FY26 Earnings Call of Smartworks Coworking Spaces. On behalf of Smartworks, we are represented by the Senior Management, Mr. Neetish Sarda, Managing Director, Mr. Harsh Binani, Executive Director, Mr. Sahil Jain, Chief Financial Officer and Mr. Anirudh Tapuriah, Chief of Strategy and Investor Relations. I would now like to hand over the call to Mr. Neetish Sarda for his opening remarks. Thank you.

Neetish Sarda: Good afternoon, everyone and a very happy new year.

Q3 of FY26 marks the strongest quarter in Smartworks' journey and a clear shift into a compounding phase, where growth, margins and cash flows are improving together. At our scale, Smartworks is no longer a short-cycle occupancy business. We are an execution-led enterprise infrastructure platform built on four pillars -- sustained growth, predictable annuity-like revenue, a structurally low-cost model and a self-funded expansion. This positions us for durable and multi-decade relevance.

Let me briefly touch upon our performance and operating margins before handing over to Harsh for the growth drivers and financial outlook ahead.

During the quarter, revenue grew 34% year-on-year to INR 472 crores while normalised EBITDA increased 86% year-on-year to INR 85 crores, with margin expanding to almost 18%. Importantly, this was a PAT-positive quarter under IND AS and normalised operating cash flows exceeded normalised EBITDA with an OCF to EBITDA ratio of 1.2x, operating cash flows standing at INR 101 crores. These outcomes reflect the inherent operating leverage and cash-generating capabilities of our platform.

Our growth today is firmly anchored in enterprise demand. In Q3, enterprise clients continued to contribute approximately 90% of the rental revenue, with 35% of the rental revenue coming from large-format requirements of over 1,000 seats. Rental revenue from multi-city clients continues to be more than 30%, reflecting how large occupiers increasingly consolidate their workspace needs across locations through our reliable platform.

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At this scale, the flex workspace sector becomes an execution business. Our ability to secure large campus -style assets and execute them at speed creates a flywheel of higher occupancy, improving margins, and increasing return on capital. Equally important is revenue stability. Our client base is well -diversified, and today our top 10 clients contribute only about 21% of our rental revenue, a figure that has steadily declined even as deal sizes have increased. This enhances visibility, reduces concentration risk, and supports long contract tenures. On the supply side, we now have clear visibility for growth over the next several years. We have secured

100% of our supply for FY '27, with substantial progress already made for FY '28. We continue to see strong demand -led execution, with LOIs signed for more than 1.62 million square foot during the quarter and are committed to a sustained growth trajectory of 3 million square foot per year.

Committed occupancy at our operational level rose to 92% from 88% quarter -on-quarter, securing over INR 4,700 crores in committed revenue across our 9.2 million square foot of operational centres.

As these centres continue to ramp up to full maturity and new centres become operational, we expect to capture significant additional revenue over and above this figure, further accelerating our top -line growth. As our platform matures and the base of centres expands, growth increasingly becomes self -funded. At scale, Smartworks can sustain 25% to 30% annual growth without any incremental equity raised.

To summarize, Q3 FY '26 demonstrates that Smartworks is no longer just scaling, we are compounding. With a structural advantage, cost -based, enterprise -led demand, deep supply visibility, and strong cash generation, we believe we are well -positioned to deliver a superior long-term outcome for shareholders.

I will now hand over to Harsh to take you through the financials in more detail.

Harsh Binani: Thank you , Neetish, and good afternoon , everyone.

As Neetish highlighted, Q3 FY '26 marks an inflection point where the structural strengths of the Smartworks model are clearly visible in our financial performance. We operate at the intersection of flexibility and infrastructure, with long -tenure enterprise demand, annuity -like revenues, and disciplined capital deployment at national scale.

In Q3 FY '26, revenue increased to INR 472 crores, up 34% year -on-year, and 11% sequentially. The growth was driven by higher enterprise occupancy and ramp -up of our recently delivered centres. Normalized EBITDA rose to INR 85 crores, with margins expanding to approximately 18%, which is a bump of over 150 bps within the quarter.

Importantly, this margin expansion was achieved without any material pricing action and was driven almost entirely by operating leverage and cost discipline. As we scale, corporate overheads remain low and stable, while brokerage and operating costs continue to trend downwards, spread over a larger base, reinforcing margin expansion.

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The core of our financial model lies in centre -level economics. Mature centres operate at around 93% committed occupancy, with stable revenues and strong cost control. Conceptually, our mature centres exhibit a margin of greater than 27%, largely driven by higher durable occupancy and tight cost control without necessarily compromising on tenures or any pricing action. The ROCE continues to expand meaningfully after the expiry of each payback period. For more details, please refer to our shareholder letter. As new centres ramp up, they do not dilute our margin. Once a centre crosses its breakeven point, incremental revenue flows disproportionately to EBITDA. As the share of mature centres increases, this effect strengthens driving compounding at the portfolio level. This dynamic is clearly reflected in our improving ROCE, which continues to rise as capacity seasons and renewals kick in. Normalised operating cash flow remained robust at INR 101 crores, translating into an OCF to EBITDA ratio of 1.2x. This reflects enterprise -led billing, high -quality receivables, and minimal working capital volatility. Our ROCE has significantly jumped by more than 600 bps(1), expanding from 14.3% to now just under 21%. And we see significant headroom for the ROCE expansion to continue in the foreseeable future.

During the quarter, our credit rating was upgraded by two notches to A -Stable, reflecting the strength of our balance sheet and the cash flow

profile of our enterprise clients. Following this upgrade, our cost of borrowing has further reduced and is now amongst the lowest in the industry. We have been pioneers of introducing cash flow-backed lease rental discounting facilities with top financial institutions. For more details, refer to our earnings presentation. As we enter Q4, we expect further growth driven by the operationalization of approximately 1

million square feet of new supply and continued maturation of existing centres. We will also see a Board expansion to further strengthen our corporate governance and help us as we scale up to the next leg of our journey. While managed offices remain the co-driver, ancillary services such as Fitout-as-a-Service will increasingly support revenue growth and margin expansion as scale deepens.

In closing, Smartworks is transitioning from a growth-led phase to a high-velocity, cash compounding phase characterized by expanding margins, rising returns on capital, and increasingly self-funded growth.

With that, we are happy to take your questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Karan Khanna from Ambit Capital.

Karan Khanna: Hi, team. Thanks for the opportunity. Just a couple of questions from my side. First, GCC has contributed over 15% of rental revenue this quarter. With SmartVantage platform now becoming live, how have the nature of your conversations with global fortune 500 prospects changed? And are you seeing higher average deal sizes for GCC-focused deployments compared to standard enterprise clients?

(1) 800 was mentioned in error. Figure corrected above.

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Harsh Binani: Thank you, Karan, for the question. GCC continues to remain a very, very important driver for growth for the next three years. With the launch of SmartVantage, we are already starting to see very good momentum and traction. The conversation with a lot of our large enterprise has now moved away from space to the more holistic solution that the SmartVantage platform offers.

And this is already starting to show meaningful results on ground.

In the last nine months, the company has signed over four large mega GCC deals, which are over 1,000 seats plus. And these are well diversified across Europe and America. We expect that these numbers will continue to go up. And over the next three years, as the GCC wave continues in India, we are well positioned to take advantage. And during this course, SmartVantage platform will also continue to evolve.

Karan Khanna: Harsh, just a second question on the Q3 supply. So, with 2.6 million square feet, which was added just in the third quarter, your total super built-up area has already reached 15.3 million square feet. So how much of this new capacity is already pre-committed or reserved via LOIs?

And what is the expected ramp-up time to reach the company-wide mature occupancy of 88%?

Neetish Sardar: So Karan, the beauty of our business is, whether we take up a 400,000 square foot campus, a 100,000 square foot campus, or a 800,000 square foot campus, the ramp-up time to get to an occupancy of about 80%, 85% is similar across all the centre sizes.

With Smartworks' unique ability of taking up mega campuses, with some of the deals that we've signed recently with the Hiranandani deal that we did in Vikhroli, we're seeing that both on the demand and supply side, growth is easier because we only have to take up one or two assets to get to the target number that we're targeting for every quarter.

As far as visibility towards demand is, now we're in a phase where we're demand-led. Almost 30% to 35% of a building is pre-committed, driven by the interest generated from our existing clients before we go ahead and take a new building. That's why if you look at the 1,000-plus

-

seater deals, or if you look at the number of clients who have done multi-city deals with Smartworks, that has constantly been increasing.

We're closer to about 31%(2) in terms of multi-city deals, as well as 1,000-plus-seater deals. You will see this being a unique factor for Smartworks increasing quarter-on-quarter. In the past, as well as in the future, you'll see these numbers increase significantly. But we have significant visibility towards the demand.

Karan Khanna: And my last question, you reported a notable improvement in seat retention rate to 93% this quarter, up from 74% in Q2. Was this sharp increase due to a specific large client renewal cycle?

Or are you seeing a broader trend of clients moving towards longer lock-in periods?

(2) 35% was mentioned in error. Figure corrected above.

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Neetish Sardar: I think it just coincidentally happened that the last quarter happened to be around the 40, 45-48

month mark from COVID. We did a lot of deals during COVID which we wanted to renegotiate and bring up to market terms. I think having a retention rate closer to about 85 %-plus is something that you'll continuously see. There might be one or two quarters of abnormal numbers just because in that particular quarter, there might be a few deals that fall, but overall retention across the entire organization, if you look at our past data, as well as what we are projecting for the next few quarters, will be 85 %-plus.

Moderator: The next question is from the line of Mohit Agarwal from IIFL.

Mohit Agarwal: Yes, wish you all a very happy new year and congratulations for a great set of numbers. My first question is, if I look at our revenue mix for the quarter, the other operating revenue, which typically would have the VAS and the FAAS component, has grown meaningfully from about INR 22 crores to INR 66 crores. So, could you give some breakup and color on that and how is the trend looking forward? That's my first question.

Anirudh Tapuria: Hi, Mohit, Anirudh this side. As far as our breakup of VAS revenue or FAAS revenue is concerned, that was at around INR 27.54 crores and others were a mix of multiple items under ancillary.

Neetish Sarda: So Mohit, our ancillary revenue growth is because of the base of properties increasing to over 10 million. The existing property's occupancy is going up. The ancillary revenues or the supplementary revenues that we generate from our existing building have also gone up significantly. I think VAS or Fitout-as-a-Service as a vertical is still a very small part of the total revenue. It still only stands at about INR 27 crores for the quarter.

Mohit Agarwal: And in your shareholder letter, you do mention that there's going to be a sharp ramp-up. Any kind of any outlook you can give or any guidance that you have for the next couple of years? How large can that segment be?

Neetish Sarda: So, I think with the footprint growing 30 %-35% growth and that is also something that we can easily predict going forward because this is without any new verticals getting added. Just the footprint growth is allowing us to grow at these numbers.

We are also figuring out if there are other ways of improving the VAS margins. But currently what we can indicate towards is that with the footprint growth of about 30% -35%, the ancillary revenue will keep going up by 30% -35% year-on-year.

Harsh Binani: And to add to Neetish's point, Mohit, we've also clarified in our shareholder letter and in our prior conversations that FAAS and ancillary revenue will scale selectively over the next two years, primarily linked to the new enterprise and the GCC deployments rather than being a standalone growth driver.

Our focus remains on annuity rental revenue with ancillaries providing incremental high margin upside without increasing our volatility. And impor

tantly, we've also clarified that our VAS only
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has the take rate recognized in the revenue, keeping our earnings quality and cash visibility very stable.

Mohit Agarwal: Yes, sure. So that is well understood. So, when you're talking about take rates, how would the margins be different? So, if you could, let's say for blended margins is 18%, what would be the margins on VAS if you could share that?

Harsh Binani: So, our VAS, as we mentioned, only the take rate is recognized. The margin profile of VAS is significantly higher than our core business, given that there aren't any incremental costs associated with it. But again, we are starting with a very small base currently, and you will start to see this ramp up meaningfully over the next two years. And it continues to be very asset light, both FAAS as well as VAS.

Neetish Sarda: And I think for us, Mohit, we'll treat the VAS as something that is more predictable also in our case, because this is something which is getting generated on a regular basis where the amenities that we provide within the building is what is driving most of this growth.

And with our occupancies increasing, this consumption within buildings will automatically keep growing up. So as Harsh mentioned, there is not a lot of cost attached since it's only a take rate and we get that. But growth will also be driven because of the occupancy growth within the buildings.

Mohit Agarwal: My second question is on the overall margin outlook. Like on a year-on-year basis, it's gone up from 13 % to 18 %. And Harsh mentioned in his opening remarks that the corporate overheads are stable and brokerage and everything is also trending down.

So how do we see as your occupancy converges towards your committed occupancy? How do we see these margins? Or where do we see these margins stabilizing, let's say, one year out? If there is any directional guidance that you want to give, that will be helpful?

Harsh Binani: Sure, Mohit. So, over the next two years, margins are expected to expand structurally quarter-on-quarter, driven by our portfolio maturity, our higher committed occupancy and operating

leverage, and not necessarily our pricing action. You've seen in our business model that our occupancy has always been durable and holding well even during downturn, COVID. So that is one of the primary drivers.

And we have also ushered in a lot of new operational excellence initiatives. So, in the next two years, you will start to see energy efficiency, solar gains, etcetera, all come in. During this period, our corporate cost is not expected to go up meaningfully.

And in fact, because we are a PAN -India platform, we have our corporate teams as well as centre teams staffed everywhere. So, as we increase our footprint across other cities, you will not see that to be an investment and a drag on our margin. Therefore, do not expect volatility in our margins going forward.

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And as a larger share of our centres move into maturity, this will allow incremental revenue to flow disproportionately to EBITDA. So therefore, margin expansion should be very steady and predictable without volatility.

Anirudh Tapuriah : And just to add to Harsh's point, on Slide 16 of our investor presentation, we have given a detailed breakdown of our capacity maturing. Our matured capacity stood at 7.8 million square feet as of December 25, which is expected to go up to 10.2 million square feet by the time we hit March 27.

Neetish Sarda: Just to summarize, I think we also mentioned that now we've entered a compounding phase where the new centres which are getting added are significantly smaller in ratio of our matured centre because of which the new centre's drag on profitability is not going to be as effective.

That's why you'll see

the margins continuously increase. So, a mix of operational excellence, as Harsh mentioned, maturity of new centres as Anirudh mentioned, and the fact that compounding effect is now kicking in, all three will drive margins higher.

Mohit Agarwal: So just to summarize, if your mature centres are doing over 27% margins, your blended portfolio today is 18%; You basically see the trend going closer to that level, maybe in the 20 to 25 mark.

Is that the right assumption to make?

Neetish Sarda: Predicting those numbers might be a little difficult. We can't comment on those numbers. But what we can say is continuously, the increment is continuously happening. It is because of the compounding effect of more mature centres getting added and the new centres being a much smaller portion. So, when will it happen? It's a little difficult to really map that out. But volatility in our business is very, very low. And predictability on cash flows is very, very high. So that's allowing us to continuously grow the margins.

Mohit Agarwal: Just one last question. You've given the INR 4,700 crore committed rental number. Is it possible to share within this how much is locked in? Out of this INR 4,700 crore s?

Anirudh Tapuriah : Sure. It will be approximately in excess of INR 2,500 -odd crores.

Harsh Binani: And our retention rate, Mohit, as you are aware, has remained very high over the last three years. So, we use the committed rental revenue as a healthy parameter to measure particularly our asset liability mismatch, which for the next two years is completely eliminated as well. And we'll continue eliminating going forward.

Anirudh Tapuriah : Just a small update. Sorry. Currently, it stands in excess of INR 3,100 -odd crores.

Moderator: The next question is from the line of Pradeep RS from Spark Capital.

Pradeep RS: The first question is on the seat under fit -out, which is currently 9,000 seats, whereas we are guiding around 23,000 seats will be added by the Q4. So how this gap will be filled? So, the seats which are yet to be handed over, are we expecting it will come live by mid of Q4 ? That is my first question.

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Anirudh Tapuriah : Yes. When you look with respect to the seats which are going to come over, we've given a breakdown in our investor presentation that approximately 1 million square feet is going to get operational in the next quarter itself. And then gradually for new LOIs taken *, when these are yet to be handed over, you will see it continues to move towards under fit out, and incrementally it will move to operational footprint.

Harsh Binani: And to your question on the gap, this is going to be filled through a combination of pre - committed enterprise movements. Neetish had clarified earlier that about 30% is a pre - commitment as we take larger campuses. We already have a very healthy pipeline of LOIs already signed and we are starting to see more traction on the expansion from our existing multi - city clients.

Basis of this, we have a very strong visibility already in place. It's not necessarily an empty capacity, and you'll see it ramp up in an orderly fashion with new centre sizes. In spite of it being of a significantly larger size, we are not seeing too much difference in terms of the ramp up months.

Pradeep RS: So, secondly, I just want to understand more about the supply sourcing strategy. As you said, like 30% of say the incremental capacity would be committed by tenants. So, is it like once they give commitment, then we will go on such a supply? Or is it like the supply currently in pipeline already has 30% say commitment from client? So, to understand more about how we manage this demand supply incrementally as we go forward.

Neetish Sarda: So, I think our supply acquisition strategy is to go deeper in micro markets where we are seeing most of the

demand coming from our existing customers. Before going into any of the new centres, our existing customers are the first level of check to get a sense of where the expansion is coming from. It necessarily doesn't mean that there is a pre-commitment from the customer on the building the day we sign it, but it is an indicative commitment towards where their business is growing. How you should look at this detail is with the number of months that it's taken us, despite the larger buildings that we've taken.

So, despite taking up 400,000, 500,000, 600,000 square foot buildings, we're still able to get to that maturity mark within the first 12 months itself, which is what we're continuously demonstrating across all the small, large, and mid and large formats of centres that Smartworks is taking.

So, there's necessarily not a back-to-back deal that we go after, but it is an indicative demand from our existing customers, which in most of the cases does get converted just because of the value proposition that we have given back to our customers.

Moderator: The next question is from the line of Murtuza Arsiwalla from Kotak Securities.

* Added for the purpose of readability.

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Murtuza Arsiwalla: Hi. Congratulations. Just one question, just again, further delving into that other revenue outside of the lease rental. Could you be able to give us a sense of what would be the EBITDA flow-through and the adjusted EBITDA from that INR 60-odd crores? What would be the approximate EBITDA against that?

Neetish Sarda: I think if you break that down, F AAS obviously has a certain margin that you work on. If you look at the ancillary revenue that is coming in, Murtuza, that doesn't attach a lot of cost to it. Those costs, we don't track it separately because those are usually the building costs, which would be included in the electricity rentals and some of the other aspects of the building itself. So, to bifurcate that might be difficult.

Having said that, just to reiterate what we had mentioned earlier, these ancillary revenues are not something that has happened this quarter. It is something that is continuously growing. It will automatically be there because of the high occupancies that are there in the building. Most of the revenue comes from services which are dispersed within the building on a day-to-day basis, things like food, parking, internet, which is consumed by the users on a day-to-day basis. So, giving a separate number, it might be a little difficult. What we can say is that the take rate is what we account for and not the entire revenue. The GMV for this would be about at least eight to nine times of the figure that we've reported because our average take rate is between 10% to 12%.

Murtuza Arsiwalla: Okay. But most of that piece, these other incomes are recurring, there is not too much non-recurring in this quarter. Just checking because that number looks disproportionately higher compared to the base period.

Neetish Sarda: No, absolutely. And that's because of increased occupancy and increased footprint. I think both of them will automatically drive it. You'll see these numbers continuously go up.

Moderator: The next question is from the line of Vandit Jain from SageOne Investments.

Vandit Jain: Yes. Strong quarter, strong numbers. My only question is on operating cash flows. So in H1, our OCF was impacted by security deposits. So, the current INR 101 crore of OCF that we have reported for Q3, is there any positive or negative impact of security deposits this time around?

Anirudh Tapuria: So as far as security deposit is concerned, we continue to pay security deposit for upcoming properties as well. So even in this quarter, we have paid security deposit for our upcoming LOIs.

So, it's a recurring part of our business where we continue to pay money for future.

Harsh Binani: And on a more strategy basis, we've also maintained the stance that ours is a cash flow-focused

business where normalised OCF is always higher than normalised EBITDA, driven by a negative working capital as well as strong enterprise collections. So, from that perspective, while you might see quarter on quarter numbers move, sustainably you will always see this greater than 1 and settle more in the range of 1.2 on a more long-term basis.

Moderator: The next question is from the line of Fenil Brahmbhatt from Choice Institutional Equities .
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Fenil Brahmbhatt: Yes. So first of all, congratulations for the healthy quarter performance, considering the first ever report in this quarter, which was supported by strong top-line performance. So what is the management guidance or outlook for the top-line performance or a reported PAT margin for FY '26 or FY '27? If you can share some guidance on that, so that would be very helpful.

Harsh Binani: Certainly. Thank you for the question. Structurally, we've maintained, we are in that high growth phase. What has been interesting about this quarter is the inflection, where we are now firmly entering into compounding phase. So, you can expect that our growth levels will continue to be maintained over 25% to 30%. But this will be complemented with margin growth which is higher than that. And you will also start to see our normalised OCF and our ROCE numbers continue to jump up.

So, while we do not wish to comment specifically on the FY '27 numbers, the INR 4,700 crore committed rental revenue and a growing proportion of our portfolio becoming mature gives us the confidence that the structural change will continue to improve our overall numbers quarter on quarter.

Fenil Brahmbhatt: Okay. And we also noticed that brokerage percentage of revenue from lease rentals decreased in this quarter to 2.5%. So, what is the sustainable level for this brokerage percentage or considering percentage of revenue? And what is the management guidance for upcoming quarters?

Harsh Binani: So, on our brokerage cost, first, structurally, we want to mention that you've seen a sharp drop over the last three years, where the numbers were close to about 4.7%. And in the recent quarter, this has gone down to 2.5%, we expect that this operating leverage and the margin expansion we've seen because of our cost of acquisition coming down, largely driven by our strong franchisee, lot of multi-city expansions, we will continue sustaining a similar trend.

Of course, on a quarter-on-quarter basis, you might see fluctuations given as a result of some of the new large deals that are getting signed up. But structurally, the numbers that we've shown as a trend over the last three years will continue to hold good.

Anirudh Tapuria: And we've also given these details on Page 31 of the investor presentation.

Moderator: The next question is from the line of Pal Balar from Trinetra Asset Managers .

Pal Balar: Thank you for giving me the opportunity. I wanted to ask you, as we are going to increase the GCC clients revenue contribution, so could you please explain me how it is different from enterprise client and GCC client in terms of price per seat and the margin profile, or it is just mainly occupancy driven?

Neetish Sarda: It is mainly occupancy driven and depends on where the demand is coming from. The demand in real estate in India is now shifting towards GCCs, which are coming in taking up disproportionate space. If you look at last year, almost 80 million plus square foot of absorption of office was driven through the GCC clients.

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I don't think there is price differentiation between a GCC or a large enterprise coming in taking up space. Smartworks has always priced

itself at a value price so that people who are looking at

long term commitments with 1,000 plus seater deals are where our focus is on. I don't think that pricing really changes.

It's only our ability to capture the new demand which is coming into the market, and you will see that percentage as a total revenue has already increased to 15-plus percent and you will see those numbers continuously grow up while we capture more and more demand from the GCCs coming into India.

Harsh Binani: The interesting nugget about GCCs is that unlike typical enterprises, GCCs are setting up permanent operating centres leading to significantly larger campuses and longer tenures, and we are also seeing a lot of pan-India expansion as they continue to scale up. So, from that perspective, the earnings quality of a GCC is significantly better than any typical enterprise. Hope that answers the question.

Moderator: The next question is from the line of Sumit Kumar from JM Financial.

Sumit Kumar: Hi, good afternoon and congratulations on a good set of numbers. Happy New Year to the team as well. My first question is on the revenue growth. If I look at the operational or the leased footprint as well as the occupied number, that has gone up by 21% for the occupied base but revenue has grown at about 34%. So is it entirely led by the other income portion or there has been some increase in the average revenue per seat as well for the quarter on a Y-o-Y basis?

Neetish Sarda: So Sumit, as you would have seen our retention rate in the last quarter was down to 74%(3). So, there is obviously a natural growth in revenue of about 5% which is contractually with the companies that are coming in which is reflecting there. Plus, I think our overall occupancies have gone up to from 80% to 84% which is also driving most of this revenue.

Plus the retention rate last quarter was at 74%(3) which has now increased again. It means that we were able to reprice some of the deals that were there in COVID which were at much lower numbers which we were able to reprice again. I think the ancillary revenue that you are seeing is something that will sustainably grow at the pace at which it is growing.

FaaS is the only new vertical which is added and as a contribution in this quarter FaaS only stands at about INR 27 crores. So, if you look at the operating margins from the business or operational revenue from the business, we would consider the ancillary revenue generated from the building as well as the new seats which are added as well as occupancies or re-rating of our existing centres where we were able to get better numbers from our existing inventory all of them contributing towards the higher margin.

(3) 72% was mentioned in error. Figure corrected above.

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Sumit Kumar: Fair enough. My second question is on the pipeline. There is about 4 million odd which is under LOI or term sheet. Any risk you see of those maybe falling off or what will be the conversion ratio that the management would like to guide us on and by what timelines would these 4 million come and become commissioned or operational?

Neetish Sarda: So, Sumit the next growth, the 4 million that you are seeing is our growth throughout FY '27 and FY '28. This is something that is taking care of almost the entire requirement that is coming in till FY '28. These are deals which are already signed, executed. Certain things are under LOIs and term sheets till the time the building doesn't get to a certain stage or certain tenant improvements need to be done in the building where that is when it will get converted.

But the deals are already secured where the formal documentation has happened to a level where there are certain condition precedents before we go ahead and finalize the final terms on those buildings. So, we're just waiting for those condition pr

ecedents.

So, the visibility that we have given towards 15.6 msf is on the deals that we are certain is going through and this takes care of our entire requirement through FY '27 and almost 80 %-85% of our requirement through FY '28. So, supply is not an issue for Smartworks' growth anymore. It is only our ability of executing continuously through the next few quarters.

Harsh Binani: And historically, Sumit, our follow-ups have been very limited and what has structurally changed in our business in the last nine months and particularly more so post-IPO is that the supply tie-up has become even stronger, courtesy our strong institutional partnerships with leading developers in each of the cities we are present in, alongside our network of non-institutional developers that we have cultivated over the last few years.

We continue to see this relationship getting elevated to the next level and as Neetish rightly pointed out, supply will drive a lot of new growth but the fact that it is all certain and our model is very scalable augurs well for our future growth outlook.

Moderator: The next question is from the line of Yashas Gilganchi from BOB Capital Markets Limited.

Yashas Gilganchi: Thank you for taking my questions. With 35% of your revenues now coming in from tenants leasing greater than 1,000 seats, I'm trying to get a sense of the risk to occupancy when such a tenant vacates. So, do you expect such tenants to renew their contracts? And if so, how many times before they decide to lease directly with the landlord and in your view, how many of these tenants do you expect to stay on after the end of the market period?

Neetish Sarda: Sure. So, Yashas, if you look at 1,000 plus seater deals, these are not short-term requirements that are coming. These are 1,000 plus seater deals on an average have a tenure of over 50 months and this has continuously been increasing. In fact, if you look at the tenures from FY '22, 1,000 plus seater deals which were 12% of our revenue, on an average at 42 months tenure, those tenures have increased to 52 months and the lock-in period for these tenures have also increased in the same fashion.

While 1,000 might seem like a big number, but if you look at the size of buildings that Smartworks is also taking, 1,000 seats in most of our larger building formats would be single -

digit occupancies only. It is not like we are doing back -to-back deals where the occupancies for these centres are at risk because the client moving in reduces your occupancy from 80 or 90 to single digits. It's actually only a small portion of the occupancy risk.

Second, we also have notice periods with most of these customers in place. Even if they choose to move out, there is a six -month notice period, six to eight -month notice period that they need to give before they can actually move out. In that time, we are able to refill those centres despite having a 93% retention rate which we think is going to continue at 85 plus percent.

Even if they move out, for us to refill that centre, we have enough, ample time to find an alternate tenant to come and fill up that centre also. So, 1,000-plus-seater is more stable because it's more long-tenured. It is not because it's just a large deal and it's short -tenured and we have to keep selling those 1,000 seats every year.

Anirudh Tapuria: And for more details, Yashas, you can also refer to page 18 of our investor presentation.

Yashas Gilganchi: And my next question, and sorry to keep going on about this, is on other operating revenues. I see that they have actually jumped significantly, like if I were to just take an average about 4.3% over FY '23 to FY '25 and 6.2 % in FY '25 and it's about 14% as of 3Q '26.

So, I'm just trying to understand what, I mean, you did speak about what is driving this. How do you

expect this other operating income or other operating revenues to trend going forward? Or is that not the right way to think about it?

Neetish Sarda: So if you look at it from the financials of the company's point of view, it is only driven, it's still at about 8%(4) today from the revenues of, ancillary revenues that we are generating. The INR 27 crore s FaaS(5) vertical is something that we've, fit out as a service vertical was something that we started only this year and that is contributing the additional 5.8%(6) on the entire revenue. But if you look at the growth in the other income, it is mainly driven because of higher occupancies. The 8%(4), which is from our VAS, value -added services in the buildings of Smartworks, that continues to grow. What is different from last year is last year, the FaaS number was much, much smaller. This year, that FaaS number is increased. In this particular quarter, it is at about INR 27 crores, but the ancillary revenue remains stable. So the additional amount of 5.8%(6) that you're actually seeing is only from the, fit out as a service vertical that we are generating.

Anirudh Tapuria: And another point, we have also reported that our monthly committed revenue that has also touched 150 -odd crores on a monthly basis.

Moderator: The next question is from the line of Aditya Shah from Sunidhi Securities and Finance.

(4) 4.3% was mentioned in error. Figure corrected above.

(5) VAS was mentioned in error. Wording corrected above.

(6) 2.1% was mentioned in error. Figure corrected above.

Aditya Shah: Hi team. I just had one small question. You have a large foreign investor named Keppel Land with 14.91% stake. Could you give us an idea about how this stake would be monetized in future?

Harsh Binani: Thank you, Aditya. Keppel continues to be a long -term supportive shareholder who has invested in from their balance sheet in 2019. We've reached out to Keppel, and they've mentioned that there are no immediate plans for them to sell. Of course, like any other institutional investor, they might evaluate opportunities in the future. However, this action would be orderly and not destructive in any way.

Moderator: The next question is from the line of Yashowardhan Agarwal from IIFL Capital Asset Management Ltd.

Yashowardhan Agarwal: Good morning and congratulations on a good set of numbers. So, two questions from my side. First, could you please elaborate on the SmartVantage as an offering? I know you have mentioned it in your letter, but still if you could elaborate that what exactly is the offering and how does it play Smartworks differently versus others' manned office space? And on the similar line, is this generally a big problem for the GCCs that we're trying to solve or is it just a complementary offering that we have provided? That would be my first question.

Harsh Binani: Certainly. Thanks a lot, Yash, for that question. SmartVantage addresses a very core GCC problem, which is of speed, compliance, and execution at scale. So far, our offering was limited

to workspaces, but SmartVantage takes it a level further by where we become a one-stop solution and offer ready-to-operate campuses with all the regulatory and technology and partner support, enabling GCCs to go live in just six to eight weeks.

Typically, during that period, they are also evaluating where to expand and how their India operations are settling. So therefore, we believe that Smartworks, because of its pan-India footprint and our campus strategy, allows them the flexibility of taking care of both their national needs as well as going live very quickly and scaling up also very aggressively with us as their need firms up. This is where we clearly distinguish from any other provider, and we see a very promising outlook in future for GCCs.

Yashowardhan Agarwal

: Okay, and how do we plan to monetize it?

Harsh Binani: Currently, our workspace offering will not see any change. We will continue to get that annuity revenue from GCCs. For all the partner-led services which are going to be offered by our partners to these GCCs, similar to our VAS, we will be having a take rate, which will flow straight to our bottom line. So, you will see the GCCs coming in, not only expanding our workspace revenue, but also our other take rate revenue.

Yashowardhan Agarwal: Got it. That is helpful. My second question is on the retention rate. So, could you please share the retention rate across different seat cohorts, that what is it for the 1,000 plus seats versus, let's say, below 1,000 and how has that been across the years?

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And second question would be, what is the nature of the clients that we are acquiring? That is, how much of them are coming from switching to -- switching from the existing flex player and how much are coming to Smartworks as their first choice?

Neetish Sarda: Maybe let me start to answer with the second question first and then I'll hand it over to Anirudh to answer the first question. Most of the demand in Smartworks is actually coming from enterprise clients. It's a unique set of clients which are moving into Smartworks who look at traditional offices as an alternate.

The reason that Smart works is able to get much long tenure and the larger deal size is because people are looking at Smart works as an alternate to traditional offices rather than moving from any other flex player in to a Smart works setup.

If you look at the expansion, the reason that most of these clients are expanding also with multi-city deals with Smart works is about 31%(7). It means that once they come into the ecosystem, they go ahead and grow across multiple geographies. And if you look at our focus, ~90%(8) of our revenue actually comes from large enterprise clients.

So while we have over 200,000 seats as we speak, its spread over 750, 760 plus clients. We don't have thousands of clients, 2,000 -3,000 clients who are occupying these number of seats. Only 760 clients, so they're more sticky in nature, more permanent, more predictable and are looking at Smart works as an alternate to traditional offices rather than moving from flex.

Anirudh Tapuriah: And just to your question with respect to retention, I would just like to give a breakup with respect to how revenue is forming on the lease rental side. As you mentioned, 1,000 plus is 35% plus of our lease rental revenue. Between 300 to 1,000, it is approximately 32% to 33% of our revenue, that is why 300 plus actually becomes a very large base at around 70-odd percent.

And as far as retention is concerned, we continue to track and evaluate retention at a company level because bulk of our clients are actually enterprises as Neetish mentioned is at 90%. So that is why we track retention on a company level basis and not on a seat cohort level basis.

Yashowardhan Agarwal: And if I could ask the last question, that would be on the absolute capex number for next two years for FY' 27 and FY'28.

(7) 35% was mentioned in error. Figure corrected above.

(8) 95% was mentioned in error. Figure corrected above.

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Harsh Binani: We've maintained consistently that going forward, we are aiming at a 25% to 30% growth rate, we will continue being self-funded. Prior to IPO the capital that was raised of INR 500 crores is already generating very healthy cash flows. We are yet to fully utilize the IPO proceeds that we

raised. So that will also meaningfully help us improve our capex capacity over the next few years. For 2.5 to 3 million square foot addition every year, we envision a capex of INR 350 crores to INR

400 crores every year, for which the company is very well capitalized and external capital raise will not be required.

Moderator: The next question is from the line of Siva Prakash B from ithoughtPMS.

Siva Prakash B: Hi, sir. So, you had mentioned that you were planning to expand by 3 million square feet per year. So, could you please give me more info about where these new centres are going to be expanded? Like are you planning for a more tier 1 based expansion or tier 2 based expansion?

And also, could you talk about your Singapore centre if you're planning to expand on the same?

Neetish Sarda: So, if you look at our expansion to 3 million square foot is something that we've already locked in for the year for FY '27 and for FY '28. Majority of the growth is driven in tier 1 cities in India where we are going ahead and consolidating our leadership position in most of the larger cities where Smart works is present. We have grown across cities like Mumbai, Pune, Bangalore, Hyderabad.

If you refer to our Page 15 of the presentation, you will see how this is distributed across almost all the major cities and how we're consolidating our position and leadership position in all of these cities. So, most of it is going to be driven through the Tier 1 expansion itself where we are seeing deeper interest, deeper demand coming in from large enterprise clients. As far as Singapore is concerned, it was more of a strategic presence realizing that demand in India comes from large enterprises who have their headquarters in Southeast Asia based out of Singapore. We wanted to be closer to the decision makers there is no immediate requirement for us to increase our base in Singapore. It was mainly to create a presence so that we are closer to the decision makers. And I think it's turned out very well for the company because we're seeing those synergies flow through the demand which is coming to us from Singapore to India as well as from India to Singapore. And Singapore is profitable for us for the past few quarters. And it has margins higher than India typically.

Siva Prakash B: And are you planning to focus more on Tier 2 going forward as your competitors are planning or how is it going to be?

Neetish Sarda: We're seeing India is about 90 plus percent of India's demand actually comes from the top nine cities. Our focus is to go deeper with the campus style large setups that we have. Tier 1s will always dominate it because getting in 800,000 -900,000 square foot building is something that will be available in Tier 1s, Tier 2. The volume of such campuses might be much, much smaller.

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So while you will see Smart works entering into new cities, we are present in five(9) Tier 2 cities already as we speak. But I think the Tier 1 will have a disproportionate growth just because of the size of properties that are available in these locations and the Smart works strategy of taking up full large campus buildings, which is unique to our model, which is what keeps our focus more on Tier 1.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Harsh Binani for the closing comments. Thank you and over to you, sir.

Harsh Binani : Thank you very much for patiently hearing us for the last hour. And we look forward to continue engaging with you. Our team remains available to answer any questions. Hope you do get the time to go through the exhaustive collateral material that we've uploaded, our shareholder letter, as well as the earnings presentation. And here's wishing all of you a very happy New Year again and look forward to a great year for the company and interacting more with you. Thank you so much.

Moderator: Thank you very much. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for

or joining with us today and you may now disconnect your lines.

(9) six was mentioned in error. Figure corrected above.

(This document has been edited for readability purpose)